

Kao Data Limited

Annual Report and Statutory Financial Statements

Year Ended 31 March 2025

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Kao Data Limited

Annual Report and Statutory Financial Statements for the year ended 31 March 2025

Company Information

Registered office

Kao Data Campus,
London Road,
Harlow,
United Kingdom,
CM17 9NA

Company number

11756346

Auditor

BDO LLP,
55 Baker Street,
London,
W1U 7EU

Kao Data Limited

Annual Report and Statutory Financial Statements for the year ended 31 March 2025

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Kao Data Limited

Strategic report for the year ended 31 March 2025

Introduction

The Directors present their strategic report for Kao Data Limited ("the Company") and its subsidiaries ("the Group" and "Kao Data") for the year ended 31 March 2025

Principal Activities

Kao Data pioneers the development and operation of data centres engineered for AI and advanced computing. With a hyperscale-inspired and industrial scale platform, Kao Data provides customers with a secure, scalable and sustainable home for their compute.

Accordingly, Kao Data's principal activity is the provision of space and infrastructure necessary for customers to house their servers as well as ancillary services such as fitting out space to customers' specific requirements and providing them with access to the ecosystem of connectivity providers hosted at Kao Data's data centres.

The principal activity of the parent company is to own and manage the data centre owning and operating companies within the Group.

Strategy

Kao Data has its heritage in, and demonstrable experience of, providing the physical infrastructure for High Performance Computing (HPC) and Artificial Intelligence (AI). This has been gained through hosting an eco-system of customers deploying HPC and AI platforms including NVIDIA's Cambridge-1 supercomputer. Our strategy is to leverage this expertise to be first in the UK's, and then Europe's, preferred choice for high performance data centre requirements.

The exponential growth of generative AI will drive a rapid increase in the requirement for HPC infrastructure, particularly across the financial services, life science and cloud computing sectors in which Kao Data already has an established presence.

Future developments

Kao Data will meet the growing AI and HPC demand by continuing to expand its data centre sites through organic growth and acquisition. Kao Data's flagship first campus between London and Cambridge serves as a blueprint for the Group's ability to innovate in the field of data centre development to meet emerging customer needs. Kao Data is building on this with its latest brownfield development in the UK's second technology hub of Manchester.

With data centres also situated in the established ecosystem west of London, Kao Data has customer relationships which create a springboard for developing further high-performance data centres in London and across key European markets. In line with this, Kao has developed a pipeline of transactable powered land opportunities and a key objective for the coming year is to convert the first of these into active development projects.

Kao Data Limited

Strategic report (continued) for the year ended 31 March 2025

Performance and KPIs

Performance review

The Group continued to experience strong sales growth throughout the period to 31 March 2025 driven by customers across the key sectors of cloud, AI, and life sciences. This is reflected by almost 60% year-on-year growth in recurring revenue.

KPIs

The Group measures its financial performance primarily based on growing EBITDA, which in turn is driven by growth in third party recurring revenues and therefore MegaWatts (MW) of power contracted to customers.

For internal reporting management uses an adjusted EBITDA which excludes costs associated with investigating opportunities to acquire new locations (corporate development costs) and, up until all such costs ceased in Feb-24, asset management costs. A reconciliation of Operating Loss as reported in the Consolidated Statement of Income to adjusted EBITDA reported internally is shown below.

	Year-ended 31 st March 2025 £'000	Year-ended 31 st March 2024 £'000
Operating Profit/(Loss)	4,177	(2,588)
EBITDA add backs		
Depreciation	133	28
Costs associated with evaluating new locations	606	4
Adjusted EBITDA	4,916	(2,556)
Incremental Kao add backs		
Asset Management Fees	-	853
Other Corporate Development Costs	27	62
Internally Reported adjusted EBITDA	4,943	(1,641)

Revenue is another key performance indicator for the business. Increasing revenue demonstrates the Group's ability to grow and so justify continued investment in the development of new data centres by gaining new, and growing existing, customers. Revenue is reported as shown below.

	Year-ended 31 st March 2025 £'000	Year-ended 31 st March 2024 £'000
Recurring revenue	31,227	19,542
Power revenue	26,229	31,245
Ancillary revenue	6,358	5,733
Total revenue	63,814	56,520

Kao Data Limited

Strategic report (continued) for the year ended 31 March 2025

It is the opinion of the directors that, other than the above and the information in the profit and loss account for the year, there are no further key performance indicators for the Company for which disclosure is necessary for an understanding of the development, performance or position of the business

Other information of strategic importance

Kao Data's impact on the community and environment is an important part of the Group's strategy. This is tracked and reported on in detail as part of our wider approach to ESG. This information is publicly available on our website.

GHG reporting is used as an indicator of Kao Data's energy usage position. The GHG scope emissions across the Group are

Metric	2025	2024
GHG Scope 1 emissions	628 tCO ₂ e	61 tCO ₂ e
GHG Scope 2 emissions	8,646 tCO ₂ e	20,834 tCO ₂ e
GHG Scope 3 emissions	18,811 tCO ₂ e	1,942 tCO ₂ e

Kao Data's approach to reducing its energy and emissions is deep rooted in our strategy, including the design of data centres that drive operational and energy efficiency, and offsetting of all energy used against output from specific renewable sources. Scope 2 (location-based) emissions decreased year-over-year, primarily due to the reclassification of IT Load from Scope 2 to Scope 3. This reclassification reflects the treatment of IT Load as a service provision and therefore more appropriately reported under Scope 3 emissions.

Business Review and Financial Result

Loss for the financial year was £22.6m (2024: £4.2m)

Net assets at the financial year end were £356m (2024: £271m)

Notwithstanding the loss for the year the directors are satisfied with the performance of the Group during the year as prior year operating losses of £2,588k progressed to operating profits of £4,177k in the current period (the increase in net losses over the period being principally attributable to unrealised movements in the valuations of the investment property and higher interest expense arising from further drawdowns on the existing facility). The mandate of the business is to invest in the continued growth of the platform and hence increased operating expenses may arise initially as the business' capabilities are scaled in advance of revenues being received.

Risks and uncertainties

The principal risks and uncertainties of the Company are consistent with the principal risks of the wider Group and are not managed separately. Key risks faced by the Group are collated and reviewed via a risk register which is regularly reviewed by the senior management team and board. The risks currently identified via the risk register can be summarised as follows:

- **Achieving sales targets** The Group has expansion plans that can only be profitably realised by continued sales. This is particularly important for growth funded by debt where compliance with key covenants will require continued sales progress. An important facet of the sales narrative is sourcing cost-effective electricity as this is a significant cost which is passed through to customers. Whilst energy costs have been high, they are reducing and Kao has a risk management strategy for buying energy which helps mitigate the negative impacts of fluctuations in the market.
- **Maintaining Operational excellence** Kao Data's customer contracts include service level agreements (principally the maintenance of humidity, temperature and power supply to space provided to customers). Failure to deliver to these service levels could trigger service credits and / or damage Kao Data's reputation. Key to maintaining this operational excellence is the ability to retain and attract highly skilled personnel.

Kao Data Limited

Strategic report (continued)
for the year ended 31 March 2025

- **Inflation & Interest Rates** Kao Data relies on funding from external loan providers which carries interest rate risk. However, Kao Data has largely hedged its debt to mitigate the risk associated with the interest rates. Separately, Kao Data has substantial obligations for the development of its data centre campuses which carry inflation risk due to the timeframe over which construction occurs. However, Kao Data signs fixed price contracts with contractors ensuring cost certainty at the point contracts are entered into.

The Group does not have significant exposure to the following risks for the reasons stated

Ukraine conflict	Kao Data currently operates in the UK and its strategic plan envisages expansion in the medium term within western Europe. The distinct issue of rising energy costs are as noted above.
US tariffs	Following the US imposed tariffs on existing duties, fees and taxes, the mid-to long-term outlook for the local and global economy remains uncertain. These tariffs will potentially drive costs up for essential materials (e.g. steel) which are required in the construction of data centres, particularly in instances where such materials are sourced globally. To mitigate this, Kao Data has a robust procurement policy which ensures that the Group partners with the right suppliers. This includes supply chain diversity which enables selection of suppliers from different geographies to best meet the objectives of the Group.

Section 172 Statement

The directors have acted in the way that they considered, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole and this section forms our section 172 disclosure, describing how, in doing so, the directors considered the matters set out in section 172(1)(a) to (f) of the Companies Act 2006.

The directors also considered the views and interests of a wider set of stakeholders including regulators, shareholders and debt providers.

The Directors have, amongst other matters, had regard to

- the likely consequences of any decision in the long term,
- the need to foster the Company's business relationships with suppliers, customers and others,
- the impact of the Company's operations on the community and the environment,
- the desirability of the Company maintaining a reputation for high standards of business conduct, and
- the need to act fairly between members of the Company.

It is of importance to the Board that they consider a broad range of interests when making decisions, however we acknowledge that in balancing those different perspectives it will not always be possible to achieve the optimal outcome for every stakeholder.

Board's engagement with stakeholders

For internal matters, the Directors of the Company have an open communication policy between all stakeholders, including the Board, the senior management team and employees and contractors.

The Board considers the relevance of each stakeholder group dependant on the specific decision being made and adopts different methods of engagement with the differing groups when required. On occasion, and where appropriate, the Board will engage with stakeholders on issues, however due to the variety and distribution of our stakeholders and Company itself, the majority of engagement is often deferred to the operational level of the Company.

In addition, to ensure a more efficient and effective approach, certain stakeholder engagement is led at a Kao Group level, in particular where matters are of group-wide significance or have the potential to impact the reputation of the Kao Group.

Kao Data Limited

Strategic report (continued) for the year ended 31 March 2025

The Board consider and discuss information from across the organisation to help it understand the impact of the Group's operations on, and the interests and views of, our key stakeholders. It also reviews strategy, financial and operational performance as well as information covering areas such as key risks, and legal and regulatory compliance.

This information is provided to the Board through reports sent in advance of each Board meeting, and through in-person presentations. As a result of these activities, the Board has an overview of engagement with stakeholders, and other relevant factors, which enables the directors to comply with their legal duty under section 172 of the Companies Act 2006.

The following are some examples of how the directors have had regard to the matters set out in sections 172(1)(a)-(f) when discharging their section 172 duties and the effect of that on certain of the decisions taken by them.

Engagement in action

Customer Focus

The Board have ensured that, for key events, customers received tailored, targeted communication, and direct access to support, to ensure that customers' felt well informed, and the services provided were in line with their expectations. For example, the Group maintains certifications with the Government-backed Cyber Essentials and Cyber Essentials PLUS Scheme to support customer privacy and security. The Group remains responsive to changing customer demands by continually surveying customer satisfaction using CSAT, and annual customer satisfaction surveys using SurveyMonkey.

Sustainability

Kao Data continues to lead the sector in sustainable innovation and action, reinforcing our commitment to environmental responsibility through initiatives that empower local communities and future-proof the digital infrastructure workforce. We remain a committed signatory to the Climate Neutral Data Centre Pact (CNDCP), which guides our Net Zero roadmap and operational best practices.

This year we deepened our impact through the launch of the Kao SEED Fund in Stockport, Greater Manchester. This new fund provides direct support to community-led environmental initiatives, offering grants to projects focused on sustainability, social enterprise and environmental development. The fund's first year saw over 65 applications and resulted in 20 funded projects helping us extend our environmental impact at the grassroots level.

In addition, as part of our sustainability-driven approach to the festive season, we chose not to send traditional corporate gifts or Christmas cards. Instead, we donated to The British Bee Charity and sponsored 10 Kao Data bee hives supporting the health and biodiversity of nearly 800,000 bees across the UK.

Social impacts

Kao Data expanded its social impact work through initiatives focused on inclusion, wellbeing, and community development.

Our flagship Critical Careers initiative aims to tackle the digital infrastructure skills gap by raising awareness of the sector's career opportunities and promoting greater diversity. The inaugural campaign, *Women in Digital Infrastructure*, featured a coffee table book profiling 30 inspiring women from across the industry and was supported by the likes of Google, Microsoft and TechUK. Launched at Datacloud Cannes, the campaign received over 250,000 LinkedIn impressions and continues to build momentum.

Internally, we progressed employee wellbeing through our Mental Health First Aider network – providing team members with access to qualified mental health support across the organisation and promoting an inclusive, stigma-free culture. We also continued our partnership with UTC Heathrow Digital Futures Programme, which provides students aged 14–18 with hands-on training in engineering and data centre operations. In addition, we launched a new ongoing partnership with Trafford and Stockport College, aimed at delivering a range of career-focused activities and opportunities to help students prepare for future roles in the digital infrastructure sector. Additionally, Kao Data became the first impact sponsor of GeN+1, an initiative designed to provide a community for the younger generation, and those young at heart, within the Data Centre sector.

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Strategic report (continued) for the year ended 31 March 2025

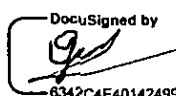
Going Concern

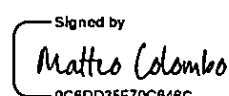
Per note 2 of the financial statements, the Group continues to have adequate capital available to deliver its business plan. The Group is, and has been, compliant with all financial covenants and even in modelled downsides expects to continue to be for the remaining term of the facility. The facility expires in January 2027, with an option available to extend the facility for up to two years from maturity. The base Business Plan scenario envisages capital requirements for the 12 months following the balance sheet being met from existing loan facilities including accorions. In a downside scenario where the Group was unable to draw on these loans, shareholders have indicated their willingness to provide financial support to the Company to ensure that it can continue to meet all its present and known future obligations falling due over the 12 months from the date of these accounts. Though these letters of comfort are not legally binding, they provide the Directors with sufficient evidence of shareholder's intended ongoing support for the business.

Shareholders have a demonstrable track record of providing equity in much greater quantum than is required to support the business over the next 12 months having input over £250m of cash in the preceding four years. This funding includes £45m of capital provided between the financial year end and signing of the financial statements. The Board of the Group is comprised of shareholder directors who are therefore party to Kao Data's business plan and fully supportive of the Group's strategy to lever surging demand for the infrastructure underpinning the growth of AI and the investment this will require. Therefore, the Directors consider it appropriate to prepare the financial statements on a going concern basis.

Approval

This Strategic Report was approved by order of the Board on 26 November 2025

DocuSigned by

6342C4E40142499
Vincent Gerritsen
Director

Signed by

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Matteo Colombo
Director

Kao Data Limited

Directors' report for the year ended 31 March 2025

The directors present their report and audited, consolidated Statutory Financial Statements for the year ended 31 March 2025

Principal activity

The principal activity of the Kao Data Group is the provision of space and infrastructure necessary for customers to house their servers as well as ancillary services such as fitting out space to customers' specific requirements and providing them with access to the ecosystem of connectivity providers hosted at Kao Data's data centres

The principal activity of the parent company is to own and manage the data centre owning and operating companies within the Group. Consistent with this the parent company recharges group costs to other Group companies at a margin

Proposed dividend

No dividend was paid or declared during the year (2024: nil)

Political and charitable contributions

During the year, £2,675 of charitable donations were made to various charities (2024: £7,500 to Changing Lives)

During the year no political donations were made (2024: nil)

Streamlined energy and carbon reporting (SECR)

As the second year of SECR reporting, Kao acknowledges the prior period values to 31st March 2024 as the base position for future movements on our energy consumption and emissions. Our aim is to dynamically and actively improve on our energy usage and carbon footprint through innovative initiatives. We use multiple reporting and recognition methods to track our performance and progress in energy usage and carbon impacts, including GHG and energy consumption tracking.

Energy consumption is captured on a site-by-site basis using utility provider MPAN meters and comparable billing information received from the providers to confirm accuracy of the data. GHG emissions, which consist of scope 1 (Stationary Combustion and Fugitive Emissions), scope 2 (direct electricity and gas) and scope 3 (distribution losses, water, waste management and car mileage) are collated from internal reporting sources. The data for these is collated and converted to the appropriate t/CO₂e using the GHG Protocol tables defined by Government resources.

Kao has reported GHG emissions of

Metric	2025 t/CO ₂ e	2024 t/CO ₂ e
GHG Scope 1	628	61
GHG Scope 2 (IT)*	-	12,857
GHG Scope 2 (Kao)	8,646	7,977
GHG Scope 3	18,811	1,942
Total GHG emissions	28,085	22,837

*For the current year and future periods, IT Load will be reported under Scope 3. This reclassification reflects the treatment of IT Load as a service provision and therefore more appropriately reported under Scope 3 emissions.

Kao Data Limited

Directors' report (continued) for the year ended 31 March 2025

Electrical energy consumption is tracked in its raw form of kilowatt hours (kWh). The back-up generators at the Harlow site are run using hydrogenated vegetable oil (HVO) as fuel and energy consumption is captured using kWh. Other Kao Data sites are measured based on an alternate level of metering which are converted to kWh for comparative data across the Group. Energy consumption is reported as:

Metric	2025 GWh	2024 GWh
Grid energy	121.79	107.74
Generator energy	0.17	0.28
Total energy consumption	121.96	108.02

Emissions ratios

The Energy Intensity Ratio is the key emissions ratio utilised across the Group. This is based on the annual revenue as disclosed in note 4 of the financial statements and is calculated as total energy usage divided by revenue.

Metric	2025	2024
Revenue (£)	63,814,156	56,520,402
Total electricity (MWh)	121,962.26	108,016.74
Energy intensity (MWh/Revenue)	0.001911	0.001911

Energy efficiency measures

To ensure efficient use of energy, Kao Data

- tracks Power Usage Effectiveness (PUE), Carbon Usage effectiveness (CUE) and Water Usage effectiveness (WUE). Due to the use of renewable energy, CUE is captured at zero. WUE is measured through water meters and converted per GHG protocol. Across the portfolio:

Metric	2025	2024
PUE	1.52	1.57
WUE	0.18	0.27

- has Renewable Energy Guarantees of Origin (REGO) in place for our renewable energy. These REGOs are generated by a specified windfarm that matches the kWh consumed through the national grid enabling net zero emissions.
- uses HVO at the Harlow site for the generators as a green initiative to reduce emissions and environmental impact. Kao is working towards incorporation of HVO as a fuel used across its entire Data Centre portfolio.
- holds ISO accreditations ISO14001 (related to decreasing pollution and waste by introducing environmental management systems) and ISO50001 (energy management). Additionally, Kao produces periodic GRESB submissions and publicly available environmental social governance (ESG) reporting.

Kao Data is driven to lead in innovation and improvements to energy efficiencies in the Data Centre industry.

Kao Data Limited

Directors' report (continued) for the year ended 31 March 2025

Future developments

Kao Data's plans for future development are as detailed in the Strategic Report on page 3

Directors

The directors of the Company throughout the year and to the date of this report were

Colombo, M C
Munro, D G (Resigned 20 December 2024)
Bedford, M S (Resigned 31 August 2024)
Gerritsen, V
Smales, W O C
Feldman, A (Appointed 15 April 2024)
Coplowe, M (Appointed 5 March 2025)

Auditor

All the directors as at the date of this report have taken all the steps that they ought to have taken to make themselves aware of any relevant audit information and to establish that the auditor is aware of that information. The directors are not aware of any relevant audit information of which the Company's auditor is unaware.

BDO LLP have expressed their willingness to continue in office. The Company's Audit Committee will review the requirements for audit and the re-appointment of the auditor prior to the end of the next financial year.

Approval

This Directors' Report was approved by order of the Board on 26 November 2025

DocuSigned by

6342C4E40142499
Vincent Gerritsen
Director

Signed by

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Matteo Colombo
Director

Kao Data Limited

Statement of Directors' responsibilities for the year ended 31 March 2025

The directors are responsible for preparing the Annual report and the statutory financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the Group and Company financial statements in accordance with UK adopted International Financial Reporting Standards (IFRS) and applicable law. Under Company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Group and Company and of the profit or loss of the Group for that period.

In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and accounting estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Kao Data Limited

Independent auditor's report

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF KAO DATA LIMITED

Opinion on the financial statements

In our opinion

- the financial statements give a true and fair view of the state of the Group's and of the Parent Company's affairs as at 31 March 2025 and of the Group's loss for the year then ended,
- the Group financial statements have been properly prepared in accordance with UK adopted international accounting standards,
- the Parent Company financial statements have been properly prepared in accordance with UK adopted international accounting standards, and as applied in accordance with the provisions of the Companies Act 2006, and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006

We have audited the financial statements of Kao Data Limited ("the Parent Company") and its subsidiaries ("the Group") for the year ended 31 March 2025 which comprise Consolidated Statement of comprehensive income, Consolidated Statement of financial position, Consolidated statement of changes in equity, Consolidated statement of cash flows, Company Statement of Financial Position, Company statement of changes in equity, and notes to the financial statements, including a summary of material accounting policy information. The financial reporting framework that has been applied in their preparation is applicable law UK adopted international accounting standards, and as regards the parent company financial statements, as applied in accordance with the provisions of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Group and the Parent Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Group or Parent Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

Kao Data Limited

Independent auditor's report (continued)

Other information

The Directors are responsible for the other information. The other information comprises the information included in the Annual Report and Statutory Financial Statements, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic report and the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements, and
- the Strategic report and the Directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Group and the Parent Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic report or the Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the Parent Company, or returns adequate for our audit have not been received from branches not visited by us, or
- the Parent Company financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of Directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Statement of Directors Responsibilities, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Group's and the Parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or the Parent Company or to cease operations, or have no realistic alternative but to do so.

Kao Data Limited

Independent auditor's report (continued)

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below.

Non-compliance with laws and regulations

Based on

- Our understanding of the Group and the industry in which it operates,
- Discussion with management and those charged with governance, and
- Obtaining an understanding of the Group's policies and procedures regarding compliance with laws and regulations.

we considered the significant laws and regulations to be the applicable accounting framework and UK tax legislation.

The Group is also subject to laws and regulations where the consequence of non-compliance could have a material effect on the amount or disclosures in the financial statements, for example through the imposition of fines or litigations. We identified such laws and regulations to be the Companies Act 2006.

Our procedures in respect of the above included

- Review of minutes of meetings of those charged with governance for any instances of non-compliance with laws and regulations,
- Review of correspondence with tax authorities for any instances of non-compliance with laws and regulations,
- Review of financial statement disclosures and agreeing to supporting documentation, and
- Review of legal expenditure accounts to understand the nature of expenditure incurred.

Fraud

We assessed the susceptibility of the financial statements to material misstatement, including fraud. Our risk assessment procedures included

- Enquiry with management and those charged with governance regarding any known or suspected instances of fraud,
- Obtaining an understanding of the Group's policies and procedures relating to
 - Detecting and responding to the risks of fraud, and
 - Internal controls established to mitigate risks related to fraud.
- Review of minutes of meetings of those charged with governance for any known or suspected instances of fraud,
- Discussion amongst the engagement team as to how and where fraud might occur in the financial statements,
- Performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud, and
- Considering remuneration incentive schemes and performance targets and the related financial statement areas impacted by these.

Kao Data Limited

Independent auditor's report (continued)

Based on our risk assessment, we considered the areas most susceptible to fraud to be valuation of investment property and management override of controls

Our procedures in respect of the above included

- Testing a sample of journal entries throughout the year, which met a defined risk criteria, by agreeing to supporting documentation, and
- Assessing significant estimates made by management for bias on investment property and co-allocation revenue

We also communicated relevant identified laws and regulations and potential fraud risks to all engagement team members who were all deemed to have appropriate competence and capabilities and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit

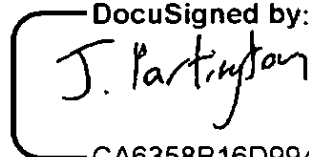
Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it

A further description of our responsibilities is available on the Financial Reporting Council's website at <https://www.frc.org.uk/auditorsresponsibilities>. This description forms part of our auditor's report

Use of our report

This report is made solely to the Parent Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Parent Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Parent Company and the Parent Company's members as a body, for our audit work, for this report, or for the opinions we have formed

DocuSigned by:



CA6358B16D9949D

Jason Partington (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
London, UK
27 November 2025

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127)

Kao Data Limited

Consolidated Statement of comprehensive income for the year ended 31 March 2025

	Note	2025 £'000	2024 £'000
Revenue	4	63,814	56,520
Cost of sales		(46,719)	(49,483)
Gross Profit		17,095	7,037
Operating expenses		(12,785)	(9,597)
Depreciation of tangible assets	5	(133)	(28)
Operating Profit / (Loss)	5	4,177	(2,588)
(Loss)/Gain on fair value of investment property	11	(2,899)	9,598
(Loss) / Gain on revaluation of swap		(354)	1,163
Finance income		325	103
Finance costs	7	(20,399)	(14,383)
Loss before taxation		(19,150)	(6,107)
Taxation	8	(3,497)	1,947
Loss for the year		(22,647)	(4,160)

The notes on pages 24 to 50 form part of these Statutory Financial Statements

Kao Data Limited

Consolidated Statement of financial position at 31 March 2025

Registered number 11756346	Note	Year ended 31 March 2025 £'000	Year ended 31 March 2024 £'000
Non-current assets			
Goodwill	9	38,700	38,700
Tangible assets	10	472	72
Investment properties	11	455,609	381,526
Other receivables	14	7,375	-
Fair value of interest rate swap		149	503
		502,305	420,801
Current assets			
Stocks	13	339	292
Trade and other receivables	14	13,637	18,434
Cash at bank and in hand	15	28,185	15,948
		42,161	34,674
Total assets		544,466	455,475
Current Liabilities			
Lease liabilities	18	(2,960)	(2,716)
Trade and other payables	16	(20,068)	(22,480)
		(23,028)	(25,196)
Non-current liabilities			
Loans and borrowings	17	(132,393)	(129,327)
Lease liabilities	18	(27,308)	(27,899)
Deferred tax liability	8	(5,611)	(2,114)
		(165,312)	(159,340)
Total liabilities		(188,340)	(184,536)
Net assets		356,126	270,939

Kao Data Limited

Consolidated Statement of financial position at 31 March 2025

Registered number 11756346	Note	Year ended 31 March 2025 £'000	Year ended 31 March 2024 £'000
Capital and reserves			
Called up share capital	22	-	-
Share premium account	22	405,373	297,539
Profit and loss account		(49,247)	(26,600)
		356,126	270,939

The statutory financial statements were approved and authorised for issue by the Board and were signed on its behalf on 26 November 2025 by

DocuSigned by

 6342C4E40142499
Vincent Gerritsen
Director

Signed by

 0C6DD35E70C846C
Matteo Colombo
Director

The notes on pages 24 to 50 form part of these Statutory Financial Statements

Kao Data Limited

Consolidated statement of changes in equity for the year ended 31 March 2025

	Note	Share capital £'000	Share premium £'000	Profit and loss account £'000	Total equity £'000
At 1 April 2023		-	260,438	(22,440)	237,998
Total comprehensive loss for the year		-	-	(4,160)	(4,160)
Transactions with owners					
Issue of share capital		-	37,101	-	37,101
At 31 March 2024		<u>-</u>	<u>297,539</u>	<u>(26,600)</u>	<u>270,939</u>
Total comprehensive loss for the year		-	-	(22,647)	(22,647)
Transactions with owners					
Issue of share capital		-	63,400	-	63,400
Capitalisation of shareholders' loan		-	44,434	-	44,434
At 31 March 2025		<u>-</u>	<u>405,373</u>	<u>(49,247)</u>	<u>356,126</u>

The notes on pages 24 to 50 form part of these Statutory Financial Statements

Kao Data Limited

Consolidated statement of cash flows for the year ended 31 March 2025

	Notes	2025 £'000	2024 £'000
Cash flows from operating activities			
Loss before taxation		(19,150)	(6,107)
Adjustments for			
Depreciation of tangible assets	5	133	28
Finance income		(325)	(103)
Finance costs	7	20,399	14,383
Net fair value loss/(gains) investment property	11	2,899	(9,598)
Net fair value loss / (gains) on interest rate swap		354	(1,163)
Increase in trade and other debtors		(2,140)	(7,246)
Increase in stocks		(47)	(23)
Increase in trade and other creditors		309	2,788
Cash from operations		2,432	(7,041)
Net cash generated from operating activities		2,432	(7,041)
Cash flows from investing activities			
Purchases of tangible assets	10	(112)	(70)
Interest received		325	103
Acquisitions of Investment properties	11	-	(11,960)
Expenditure on Investment properties		(80,142)	(56,254)
Net cash used in investing activities		(79,929)	(68,181)
Cash flows from financing activities			
Receipt from the issue of new shares	22	63,400	37,101
Proceeds from borrowings		40,864	133,674
Repayment of borrowings		-	(72,083)
Interest paid on borrowings		(11,037)	(7,257)
Receipt of gain on interest rate swap		694	660
Transaction costs in relation to borrowings		(1,471)	(9,496)
Payments made in relation to leases	17	(2,716)	(2,716)
Net cash generated from financing activities		89,734	79,883
Net increase in cash		12,237	4,661
Cash at beginning of year		15,948	11,287
Cash at end of year		28,185	15,948

The notes on pages 24 to 50 form part of these Statutory Financial Statements

Kao Data Limited

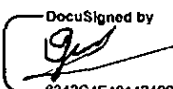
Company Statement of Financial Position at 31 March 2025

Registered number 11756346

	Note	2025 £'000	2024 £'000
Fixed assets			
Investment in subsidiaries	12	67,400	67,400
Current assets			
Debtors	14	309,461	256,233
Cash at bank and in hand	15	18,223	8,279
		327,684	264,512
Creditors amounts falling due within one year	16	(27)	(209)
Net current assets		327,657	264,303
Total assets less current liabilities		395,057	331,703
Creditors amounts falling due after more than one year	17	-	(40,328)
Net assets		395,057	291,375
Capital and reserves			
Called up share capital	22	-	-
Share premium account	22	405,373	297,539
Profit and loss account		(10,316)	(6,164)
		395,057	291,375

The Company has taken advantage of the exemption allowed under section 408 of the Companies Act 2006 and has not presented its own Statement of Comprehensive Income in these financial statements. The loss of the Company for the year was £4,152k (2024: £4,424k).

The financial statements were approved and authorised for issue by the Board and were signed on its behalf on 26 November 2025 by

DocuSigned by

6342CAE40142499
Vincent Gerritsen
Director

Signed by

0C8DD35E70C646C
Matteo Colombo
Director

The notes on pages 24 to 50 form part of these Statutory Financial Statements

Kao Data Limited

Company statement of changes in equity for the year ended 31 March 2025

	Share capital £'000	Share premium £'000	Profit and loss account £'000	Total equity £'000
At 1 April 2023	-	260,438	(1,740)	258,698
Total comprehensive loss for the year	-	-	(4,424)	(4,424)
Transactions with owners				
Issue of share capital	-	37,101	-	37,101
At 31 March 2024	<u>-</u>	<u>297,539</u>	<u>(6,164)</u>	<u>291,375</u>
Total comprehensive loss for the year	-	-	(4,152)	(4,152)
Transactions with owners				
Issue of share capital	-	63,400	-	63,400
Capitalisation of shareholders' loan	-	44,434	-	44,434
At 31 March 2025	<u>-</u>	<u>405,373</u>	<u>(10,316)</u>	<u>395,057</u>

The notes on pages 24 to 50 form part of these Statutory Financial Statements

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025

1. General

Kao Data Limited (the "Company") is a private company limited by shares, incorporated in England & Wales under the Companies Act. The address of the registered office is given on the contents page and the nature of the Group's operations, and its principal activities, are to develop, invest in and operate secure data centres.

2. Material accounting policies

- Basis of preparation*

These statutory financial statements for the year ended 31 March 2025 have been prepared in accordance with UK adopted International Financial Reporting Standards (IFRS-UK) as issued by the International Accounting Standards Board (IASB) and Interpretations.

The audited financial statements have been prepared on a historical cost base except for the revaluation of investment properties, which are recognised at fair value.

The preparation of financial statements in compliance with adopted IFRS requires the use of certain critical accounting estimates. It also requires Group management to exercise judgment in applying the Group's accounting policies. The areas where significant judgments and estimates have been made in preparing the financial statements and their effect are disclosed in note 3.

The Company has taken advantage of the exemption allowed under section 408 of the Companies Act 2006 and has not presented its own Statement of Comprehensive Income in these financial statements.

- Functional and presentation currency*

The financial statements are prepared in sterling (£) which is the functional currency of the Company. Monetary amounts in these financial statements are rounded to the nearest thousand (£'000) unless otherwise specified.

- Going Concern*

Group

The Group's financial performance for the year and financial position at year-end (with prior year comparators), were as follows:

- a loss for the year of £22,647k (2024: loss of £4,160k), and
- net assets of £356,126k (2024: net assets of £270,939k)

The Group continues to have adequate capital available to deliver its business plan from its funders. The Group is, and has been, compliant with all financial covenants and even in modelled downsides expects to continue to be for the remaining term of the facility. The facility expires in January 2027, with an option available to extend the facility for up to two years from maturity.

The Group maintains a Business Plan which evaluates a range of scenarios including (i) the capex expenditure needed for the business to meet its minimum obligations as they fall due and (ii) the expansion capex needed to achieve the rapid expansion targeted by shareholders. Whilst the latter scenario will require significant equity contributions, they will be success based (i.e. triggered by incremental sales) and therefore it is the former scenario which the Board principally evaluate in considering Going Concern. This scenario forecasts capital requirements for the 12 months following the balance sheet being met from existing loan facilities including accoridions. In a downside scenario where the Group was unable to draw on these loans shareholders have indicated via letters of comfort that they currently intend to provide the equity injections required to enable the Company and the Group to meet their obligations as they fall due for at least the 12 months following the signing of the financial statements. Though the letters are not legally binding, in the context of the capital historically provided by shareholders (more than £250m in the preceding four years), and that they continue to provide the Directors, after careful evaluation, are satisfied that the shareholders will continue to provide the funding required by the business.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

2 Material accounting policies (continued)

- *Going Concern (continued)*

Subsequent to year end, the shareholders have injected £45.9m as capital which further supports their intention and ability to support the group's business plan and growth strategy. Further comfort is provided as the Board of the Company is comprised of shareholder directors who are therefore party to Kao Data's business plan and fully supportive of the Group's strategy to lever surging demand for the infrastructure underpinning the growth of AI and the investment this will require

The directors have therefore reflected the forgoing sources of finance in preparing cash flow forecasts for a period of 12 months from the date of approval of these financial statements. These cashflows indicate that, taking account of reasonable possible downsides, the Group will have sufficient funds to meet its current liabilities, and future liabilities the Group intends to take on, as they fall due for that period. On this basis the directors consider it appropriate to prepare the financial statements on a going concern basis.

Company

The Company is the ultimate parent company for the group. It is a holding company for the group's investment in wholly owned subsidiaries which hold the group's investment properties.

The net asset position of the company is £395.1m (2024: £291.4m). The Company incurred a loss of £4.2m (2024: £4.4m) in the period, of this loss £4.1m related to interest on shareholder loans. The Shareholder loans were converted into share capital in the year and going forward, there will be no interest expensed in relation to this. In the longer term the underlying assets will become cash generative and so the Company's shareholdings in subsidiaries are expected to generate substantial profits for the Company. On this basis the directors consider it appropriate to prepare the financial statements on a going concern basis.

- *New standards, interpretations and amendments not yet effective*

There are a number of standards, amendments to standards, and interpretations which have been issued by the IASB that are effective in future accounting periods that the Group has decided not to adopt early. The following amendments are effective in future periods:

- Lack of Exchangeability - Amendment to IAS 21 (effective on or after 1 January 2025)
- Classification and Measurement of Financial Instruments - Amendments to IFRS 9 and IFRS 7 (effective on or after 1 January 2026)
- IFRS 19 Subsidiaries without Public Accountability Disclosures (effective on or after 1 January 2027)

The Directors do not expect that the adoption of the standards listed above will have a material impact on the financial statements of the Group in future periods.

The Directors are still assessing the impact of applying the amendments below on the financial statements of the Group:

- IFRS 18 Presentation and Disclosure in Financial Statements (effective on or after 1 January 2027)

- *Adoption of new and revised standards*

A number of new and revised standards are effective for annual periods beginning on or after 1 April 2024.

The Group has considered the impact of these standards and revisions and has concluded that they will not have a material impact on the Group's financial statements. The accounting policies set out below have been applied consistently to all periods presented in the financial statements by the Group.

- *Basis of consolidation*

Where the company has control over an investee, it is classified as a subsidiary. The company controls an investee if all three of the following elements are present: power over the investee, exposure to variable returns from the investee, and the ability of the investor to use its power to affect those variable returns. Control is reassessed whenever facts and circumstances indicate that there may be a change in any of these elements of control.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

2. Material accounting policies (continued)

- *Basis of consolidation (continued)*

De-facto control exists in situations where the company has the practical ability to direct the relevant activities of the investee without holding the majority of the voting rights. In determining whether de-facto control exists the company considers all relevant facts and circumstances, including

- The size of the company's voting rights relative to both the size and dispersion of other parties who hold voting rights
- Substantive potential voting rights held by the company and by other parties
- Other contractual arrangements
- Historic patterns in voting attendance

The consolidated financial statements present the results of the Company and its subsidiaries ("the Group") as if they formed a single entity. Intercompany transactions and balances between Group companies are therefore eliminated in full. The accounting policies of the subsidiary are consistent with those adopted by the Group.

The consolidated financial statements incorporate the results of business combinations using the purchase method. In the statement of financial position, the acquiree's identifiable assets, liabilities and contingent liabilities are initially recognised at their fair values at the acquisition date. The results of acquired operations are included in the consolidated statement of comprehensive income from the date on which control is obtained. They are deconsolidated from the date control ceases.

- *Revenue*

Revenue, which excludes value added tax, represents amounts derived from the provision of goods and services which fall within the Group's ordinary activities.

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the Group's activities. Revenue is shown net of value-added tax, returns, rebates and discounts and after eliminating sales within the Group.

The Group derives its income from the provision of data centre space to customers. Accordingly, Group revenues are comprised of

- co-location and cross connect revenues (reoccurring revenue)
- power revenues, and
- ancillary revenues

The primary source of revenue for the Company is the provision of management services to other Group companies.

Co-location and cross connect revenue

Recurring co-location revenues, whether priced by reference to space occupied or power reserved, and recurring cross connect revenues are recognised on a straight-line basis over the period of the contract. Invoices are issued according to contractual terms and are usually payable within 30 days. Where annual incremental increases in contract value are specified in the contracts with customers akin to inflation increases but not based on variable rates, the revenue recognised is adjusted for IFRS treatment to recognise the straight-line nature of the contractual revenue across the full contract. A corresponding asset or liability is reflected in the statement of financial position.

Ancillary revenues

Ancillary revenues are comprised of

- fees from customers relating to standard and bespoke, but one-off, customer installation and set-up works including re-sale of equipment, and
- fees or commissions from partner organisations providing ancillary services such as remote or smart hands

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

2. Material accounting policies (continued)

- *Revenue (continued)*

Revenue from customer installation works is recognised on an over time basis. For partially completed installation works, the Group recognise revenue by reference to the stage of completion of the contract determined by the value of the expense incurred on both materials and labour to date, as a portion of the total value of the contract. This represents the amount to which the Group is entitled based on its performance to date.

Revenue from sale of equipment is recognised when the Group has transferred the performance obligations to the buyer and it is probable that the Group will receive the previously agreed upon payment. These criteria are considered to be met when the goods are delivered to the buyer.

Revenue from fees or commissions is recognised when the criteria in the contract with the counterparty setting out the Group's entitlement to such revenues is met.

Contract Assets are recognised when costs are incurred to secure a customer that require amortisation against the revenue from the associated customer contract over the minimum uncancellable period of the contract (or until the first lease break of the contract in question).

Power revenues

The Group accounts for power revenues as either principal or agent depending on the terms of each customer's contract. Where the Group is deemed to be invoicing power as a principal the revenue is recognised over time as the services are provided. Invoices are issued according to contractual terms and are usually payable within 30 days.

Contract assets

Contract assets are recognised when the Group has rights to consideration for services that the Group has transferred to a customer when that right is conditional on something other than the passage of time.

Contract liabilities

Contract liabilities are recognised when the Group receives an advance consideration from customers when there is an obligation to transfer services.

Contract costs

Incremental costs to obtain a contract with a customer are capitalised if these costs are expected to be recovered. The capitalised costs are amortised over the tenure of the contract.

- *Intangible assets Goodwill*

Goodwill on acquisitions of subsidiaries is included in 'intangible assets'. Goodwill on acquisitions of joint ventures and associates is included in the related equity accounted investment value.

For business combinations, intangible assets acquired are recognised separately from goodwill only when they are separable from the acquired entity and give rise to other contractual/legal rights. Gains and losses on the disposal of an entity include the carrying amount of goodwill relating to the entity sold.

Goodwill arising represents the excess of the fair value of the consideration given over the fair value of identifiable net assets acquired. Goodwill is initially recognised as an asset at cost and is subsequently assessed for any accumulated impairment losses at every reporting period.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

2. Material accounting policies (continued)

- *Investments and other tangible fixed assets*

a) *Valuation of investments*

In the Company's individual accounts, investments in subsidiaries are measured at cost less accumulated impairment. Where merger relief is applicable the cost of the investment in a subsidiary undertaking is measured at the nominal value of the shares issued together with the fair value of any additional consideration paid.

a) *Impairment of fixed assets and goodwill*

Fixed assets and goodwill are assessed at each reporting date to determine whether there is any indication that the assets are impaired. Where there is any indication that an asset may be impaired, the carrying value of the asset or CGU is tested for impairment. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (CGUs). Fixed assets that have been previously impaired are reviewed at each reporting date to assess whether there is any indication that the impairment losses recognised in prior periods may no longer exist or may have decreased, except for goodwill where impairment losses previously recognised are not reversed.

- *Investment property*

Data centres

The Group's data centres are classified and treated as investment properties that are measured at fair value every year with any change therein recognised in profit or loss. Any gain or loss on disposal of investment property (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in profit or loss. The fair value is determined by external, independent consultants, having appropriate recognised qualifications and recent experience in the location and category of investment property being valued.

Data centres - assets under construction

The Group's self-constructed investment properties which are under construction are held at cost as a reasonable approximation of fair value until substantially complete at which point the future free cash flows of the investment properties are valued by independent consultants at fair value less costs to complete.

The cost of fixed assets constructed within the Group includes the cost of materials and direct labour. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the consolidated statement of profit or loss and other comprehensive income during the financial year in which they are incurred.

Residual land is valued at fair value.

- *Leases*

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time, in exchange for consideration.

To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses the criteria in line with IFRS 16.

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

2. Material accounting policies (continued)

Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e. the date the underlying assets is available for use). The cost of right-of-use assets includes the amount of lease payments, initial direct costs incurred, lease incentives received and other associated costs.

- Right-of-use assets that are treated as investment properties are measured at fair value, they are assessed annually with any change therein recognised in the profit and loss.
- Non-investment property right-of-use assets are measured at cost less any accumulated depreciation and impairment losses and adjusted for any remeasurement of lease liabilities.

Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g. changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset. When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right of use asset has been reduced to zero.

Variable lease payments that do not depend on an index or a rate are recognised as expenses in the period in which the event or condition that triggers the payment occurs.

• *Financial assets*

Financial assets, other than investments and derivatives, are initially measured at transaction price (including transaction costs) and subsequently held at cost, less any impairment.

• *Financial liabilities and equity*

Financial liabilities and equity are classified according to the substance of the financial instrument's contractual obligations, rather than the financial instrument's legal form. Financial liabilities, excluding convertible debt and derivatives, are initially measured at transaction price (after deducting transaction costs) and subsequently held at amortised cost.

• *Finance costs*

Finance costs are charged to profit or loss over the term of the debt using the effective interest rate method so that the amount charged is at a constant rate on the carrying amount. Issue costs are initially recognised as a reduction in the proceeds of the associated capital instrument.

• *Current tax*

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantially enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the amount expected to be paid or received that reflects uncertainty related to income taxes, if any. Current tax assets and liabilities are offset only if certain criteria are met.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

2. Material accounting policies (continued)

- *Deferred tax*

Deferred tax is recognised in line with IAS 12 Income Taxes. The amount of deferred tax provided is based on the expected manner of realization of the settlement of the carrying amount of assets and liabilities using tax rates enacted or substantively enacted at the balance sheet date.

Deferred tax assets are recognised for the unused tax losses, unused tax credits and deductible temporary differences only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilized. Deferred tax liabilities are recognised on the gains recognised on investment properties net of available unused tax losses and tax credits. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of relevant taxable temporary differences is insufficient to recognize a deferred tax asset in full, then the future taxable profits, adjusted for reversals of existing temporary differences are considered, based on the business plan for the individual subsidiaries of the Group. Deferred tax assets and liabilities are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized, such reductions are reversed when the probability of future taxable profits improve.

Unrecognized deferred tax assets and liabilities are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantially enacted at the reporting date and reflects uncertainty related to income taxes, if any.

- *Reserves*

The Group and Company's reserves are as follows:

- called up share capital reserve represents the nominal value of the shares issued,
- the share premium account includes the premium on issue of equity shares, net of any issue costs, and
- the profit and loss account represents cumulative profits or losses, net of dividends paid and other adjustments.

3 Judgements in applying accounting policies and key sources of estimation uncertainty

In preparing these financial statements, the directors have made the following judgements:

- **Deferred tax** Deferred tax assets and liabilities are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised. Recognition, therefore, involves judgement regarding the prudent forecasting of future taxable profits of the business and in applying an appropriate risk adjustment factor.

The Group has not been profitable in the past and therefore the directors have considered that it would be appropriate to recognise a deferred tax asset only from the point where profitability has been shown, which was not the case as at March 2025. A substantial revaluation gain was recognised on the investment property assets in the period to 31 March 2023 and a deferred tax liability was recognised on a net deferred tax basis to the extent above which the available unused trading losses and tax credits would not cover the expected tax expense in the instance of a sale of the full investment property asset in a single transaction. In the year to 31 March 2025 the increase in usable losses, versus the hypothetical tax charges on revaluation arising in individual taxpaying group companies, was such that the deferred tax liability increased, resulting in a deferred tax charge to the consolidated statement of comprehensive income.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (*continued*)

3 Judgements in applying accounting policies and key sources of estimation uncertainty (*continued*)

- **Impairment of assets** directors must determine whether there are indicators of impairment of the Group's tangible and intangible assets, including goodwill

Factors taken into consideration in reaching such a decision include the economic viability and expected future financial performance of the asset and, where it is a component of a larger cash-generating unit, the viability and expected future performance of that unit. The principal area of judgement for the directors is in assessing the potential impairment of goodwill (as the major tangible assets are data centres which are fair valued by external experts, see below, and other assets are of immaterial value). This requires estimates for the "value in use", the Group is required to estimate the future cashflows that are expected to arise, discounted at a suitable rate in order to calculate the net present value. The directors have determined that there are no indicators of impairment based on applying this approach to the prevailing business plan.

In preparing these financial statements, the directors have made the following estimates, subject to uncertainties

- **Fair Value of Investment Property** Directors must determine the fair value, at the balance sheet date, of Investment Properties

This is a material judgement as the primary assets held by the Group are data centres classified as investment properties. The Directors are informed in that judgement by the work of suitably qualified, sector specialist data centre valuers applying the industry accepted standards of the professional bodies they are accredited to but also consider recent transaction values and the value of investment in assets under construction.

- **Investment in subsidiaries** Directors recognise investment in subsidiaries as held at cost so must assess these values for impairment annually

For the investments in subsidiaries shown in the Company's statement of financial position the Directors must assess the recoverable value from those investments relative to their carry value. For subsidiaries that are either operational and earning revenue, or are in a net asset position, the Directors can review the future cashflows or value of assets held, under different scenarios where appropriate, to gain comfort that the recoverable value exceeds the carrying value. Where subsidiaries have net liabilities and are yet to become revenue generating the Directors must evaluate the intended business plan for that SPV, normally the acquisition and development of future data centre sites, and satisfy themselves that investment in the subsidiary to date is recoverable. Following such assessments the Company is confident that the amounts owed by, or invested in, subsidiaries will be recoverable.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

4 Revenue

	2025 £'000	2024 £'000
Analysis by class of business		
Recurring revenue	31,227	19,542
Power revenue	26,229	31,245
Ancillary revenue	6,358	5,733
	<u>63,814</u>	<u>56,520</u>
	2025 £'000	2024 £'000
Analysis by recognition type		
Over time	57,456	50,787
At a point in time	6,358	5,733
	<u>63,814</u>	<u>56,520</u>

All revenue arose within the United Kingdom

Contract balances

The following table provides information about opening and closing receivables, contract assets and contract liabilities from contracts with customers

	31 March 2025 £'000	31 March 2024 £'000
Receivables, which are included in trade and other receivables	4,047	7,042
Contract assets	5,558	2,654
Contract liabilities	2,358	2,208

The contract assets primarily relate to the Group's rights to consideration for services provided but not billed at the reporting date on recurring revenue. The contract assets are transferred to receivables when the rights become unconditional.

The contract liabilities primarily relate to the advance consideration received from customers for recurring revenue for which revenue is recognised over time.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

4 Revenue (continued)

Significant changes in the contract assets and the contract liabilities balances during the period are as follows

2025	Contract assets £'000	Contract liabilities £'000
Opening balance	2,654	2,208
Revenue recognised from prior year balance	-	(2,208)
Cash received in advance and not recognised as revenue	-	2,358
Contract assets recognised	2,904	-
Closing balance	5,558	2,358

2024	Contract assets £'000	Contract liabilities £'000
Opening balance	1,392	2,569
Revenue recognised from prior year balance	-	(2,569)
Cash received in advance and not recognised as revenue	-	2,208
Recognition of receivables from prior year balance	(43)	-
Contract assets recognised	1,305	-
Closing balance	2,654	2,208

Transaction price allocated to the remaining performance obligations

The following table includes revenue expected to be recognised in the future related to performance obligations that are unsatisfied (or partially unsatisfied) at the reporting date

	31 March 2025 £'000	31 March 2024 £'000
Within 1 year	31,437	26,491
1 to 5 years	178,368	177,973
After 5 years	155,240	187,074
	365,045	391,538

All performance obligations to be fulfilled within one year as at 31 March 2024 were satisfied during the current year

Contract costs

	31 March 2025 £'000	31 March 2024 £'000
Costs to obtain contracts with customers	2,104	1,868

The Group pays success-based sales commissions for securing long term sales contracts. Such commissions are incremental costs and are capitalised as contract costs. Contract costs are amortised consistent with the pattern of revenue recognition for the related contract. In the current period, the amount of amortisation was £454k (2024 £266k)

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

5. Operating loss

	2025 £'000	2024 £'000
This is arrived at after charging		
Depreciation of tangible fixed assets	133	28
Defined contribution pension cost	265	163
Fees payable to the Company's auditor and its associates for the audit of the Company's annual accounts	206	150
Fees payable to the Company's auditor and its associates for the audit of the Company's previous year accounts	-	50
Fees payable to the Company's auditor and its associates for other services to the Group		
Taxation compliance services	32	29
Business compliance services	160	161
Other tax services	249	201

6. Employees

	2025 £'000	2024 £'000
Staff costs consist of		
Wages and salaries	6,713	4,794
Social security costs	935	578
Cost of defined contribution scheme	509	351
	<u>8,157</u>	<u>5,723</u>

Directors' remuneration

The Directors' received remuneration from other group companies for their work. No remuneration was received in the year from Kao Data Limited (2024: nil).

The average number of employees during the year was as follows

Management	8	5
Sales	7	5
Operations	17	16
Administration	9	4
	<u>41</u>	<u>30</u>

The company operates a cash settled Long Term Incentive Scheme (LTIP). Additional awards were made during the year (2024: nil). The forecast cost of cumulative awards made to date is not material.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

7. Finance costs

	2025 £'000	2024 £'000
Bank charges	7	6
Interest on bank loans	15,467	10,685
Lease interest accretion	1,949	1,977
Other fees (including amortisation of arrangement fee)	2,976	1,715
	<u>20,399</u>	<u>14,383</u>

8. Taxation

	2025 £'000	2024 £'000
<i>UK corporation tax</i>		
Current tax on losses for of the year	-	-
Total current tax	<u>-</u>	<u>-</u>
<i>Deferred tax liability</i>		
Origination and reversal of timing differences	3,388	(1,565)
Adjustments in respect of prior periods	109	(382)
Taxation charge/(credit)	<u>3,497</u>	<u>(1,947)</u>
Movement in deferred tax liability		
Provision at start of period	2,114	4,061
Deferred tax charged/(credited) in the Consolidated Statement of Comprehensive Income	3,497	(1,947)
Liability at end of period	<u>5,611</u>	<u>2,114</u>

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

8. Taxation (continued)

Factors affecting tax charge for the year

The tax assessed for the year differs from the standard rate of corporation tax in the UK applied to loss before tax. The differences are explained below.

	2025 £'000	2024 £'000
Loss before tax	(19,150)	(6,107)
Loss on ordinary activities at the standard rate of corporation tax in the UK of 25% (2024 – 19%)	(4,788)	(1,527)
Expenses not deductible for tax purposes	10,893	1,340
Property, plant & equipment differences	675	829
Income not taxable for tax purposes	(6,690)	(339)
Other permanent differences	1	2
Capital gains / (losses)	(387)	(5,906)
Adjustments in respect of prior periods (deferred tax)	109	(382)
Timing differences not recognised in the computation	(87)	126
Movement in deferred tax not recognised	3,771	3,910
Total tax charge/(credit) for year	3,497	(1,947)

It is management's judgement (see note 3) that the Group holds sufficient brought forward trading losses to cover temporary differences identified resulting in tax liabilities. For the specific revaluation gain on investment properties in the current period, however, the Group's loss pool would not be fully utilisable in the event the entire gain were realised in a single event and so the Group has recognised a specific deferred tax liability in relation to this revaluation gain equating to £5,611k on a net deferred tax basis at a rate of 25% tax. This liability has increased from the prior year resulting in a deferred tax charge to the consolidated statement of comprehensive income.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

9. Goodwill

Group	Goodwill £'000	Total £'000
<i>Cost or valuation</i>		
At 31 March 2024	44,342	44,342
At 31 March 2025	44,342	44,342
<i>Amortisation</i>		
At 31 March 2024	(5,642)	(5,642)
At 31 March 2025	(5,642)	(5,642)
<i>Net book value</i>		
At 31 March 2025	38,700	38,700
At 31 March 2024	38,700	38,700

Goodwill relates to the acquisition of Harlow Operations Limited and Harlow Properties Limited by Kao Data Limited in February 2019

Goodwill is allocated to cash generating units (CGU) for the purpose of impairment testing. Goodwill is tested for impairment annually. Determining whether goodwill is impaired requires an estimation of the value in use of the CGU's to which the goodwill has been allocated. The value in use calculation requires an estimation of future cash flows expected to arise from the CGU's and a suitable discount rate of 9.50% (2024: 9.50%) to calculate the net present value. Based on these assumptions, the recoverable amount was estimated to be higher than the carrying amount of the CGU and goodwill was not impaired as at 31 March 2025.

Any reasonably possible change to the key assumptions applied is not likely to cause the recoverable amount to be below the carrying amount.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

10 Tangible fixed assets

Group	Right of use Lease asset £'000	Fixtures fittings and computers £'000	Total £'000
<i>Cost or valuation</i>			
At 1 April 2023	-	94	94
Additions	-	70	70
At 31 March 2024	-	164	164
Additions	445	88	533
At 31 March 2025	445	252	697
<i>Depreciation</i>			
At 1 April 2023	-	(64)	(64)
Charge for the year	-	(28)	(28)
At 31 March 2024	-	(92)	(92)
Charge for the year	(84)	(49)	(133)
At 31 March 2025	(84)	(141)	(225)
<i>Net book value</i>			
At 31 March 2025	361	111	472
<i>Net book value</i>			
At 31 March 2024	-	72	72

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

11 Investment properties

Group	Owne property £'000	Right of use assets £'000	Total £'000
<i>Cost or valuation</i>			
At 1 April 2023	147,864	155,850	303,714
Additions	31,347	36,867	68,214
Fair value movements	20,249	(10,651)	9,598
<i>Fair Value</i>			
At 31 March 2024	199,460	182,066	381,526
Additions	41,904	35,078	76,982
Fair value movements	24,059	(26,958)	(2,899)
<i>Fair value</i>			
At 31 March 2025	265,423	190,186	455,609

The fair values of investment properties on 31st March 2025 have been arrived at by the Directors with reference to market-based evidence and, in particular, independent third-party valuations. During the year the data centres were professionally valued by Ernst & Young LLP. The valuation methodology used to establish the value of the investment properties includes several assumptions.

The following table provides the fair value measurement hierarchy for investment properties:

	Quoted prices in active markets Level 1 £'000	Significant observable inputs Level 2 £'000	Significant unobservable inputs Level 3 £'000
March 2025	-	-	455,609
March 2024	-	-	381,526

There have been no transfers between the levels during either period.

Kao Data Limited

Notes to the Statutory Financial Statements
for the year ended 31 March 2025 (continued)

11 Investment properties (continued)

Valuation technique and significant unobservable inputs

The valuation techniques and the significant unobservable inputs used in measuring the fair value of investment property are as detailed below

Discounted cashflows

The valuation approach involves constructing a forward looking cashflow, modelling contracted and forecast income, and incorporating explicit assumptions in relation to matters such as income growth, voids, non-recoverable costs etc. A growth explicit, risk adjusted discount rate is then used to discount the future cash flows back to a present value. An exit is typically assumed at the end of a notional hold period or at stabilisation.

Comparable approach

The approach involves valuation by comparison with transactions of similar assets, with analysis performed based upon an appropriate unit of measurement. Adjustments are made to the evidence to reflect the characteristics of the property relative to the available evidence.

Significant unobservable inputs	Inter-relationship between key unobservable inputs and fair value measurement
Occupancy rates 45% - 100% (2024 34% - 100%)	The estimated fair value would increase if the occupancy rates were higher (decrease if occupancy rates were lower)
Discount rates 5.5% - 10% (2024 6.50% - 11.69%)	The estimated fair value would increase if the risk adjusted discount rates were lower (decrease if discount rates were higher)
Exit yields 5% - 8% (2024 7.00% - 7.55%)	The estimated fair value would increase if the exit yields were lower (decrease if exit yields were higher)

Assets under construction

Included in owned property and right of use assets are assets under construction valued at £150,945k (2024 £73,964k) cumulatively. The Group's self-constructed investment properties which are under construction are held at cost, which approximates fair value.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

12. Fixed Asset Investments

	Company 2025 £'000	Company 2024 £'000
Shares in Group undertakings	67,400	67,400

In the year to 31 March 2025, the Company recognised no impairment on any of its investments in subsidiaries (2024: £942k impairment recognised on one investment in subsidiary)

	Company 2025 £'000	Company 2024 £'000
Opening balance	67,400	68,342
Impairment	-	(942)
Closing balance	67,400	67,400

The subsidiary companies of the Group and their activities are

Name	Principal activity	Proportion of ordinary share capital held %
KD MidCo Limited ⁽¹⁾	Holding company	100
KD OpCo Limited ⁽¹⁾	Holding company	100
Harlow Operations Limited ⁽¹⁾	Operation of secure data centres	100
Harlow Properties Limited ⁽²⁾	Ownership of secure data centres	100
KD 1 Limited ⁽¹⁾	Ownership & operation of secure data centres	100
KD 2 Limited ⁽¹⁾	Ownership & operation of secure data centres	100
KD 5 Limited ⁽¹⁾	Development of secure data centres	100
KD 6 Limited ⁽¹⁾	Development of secure data centres	100
KD 8 Limited ⁽¹⁾	Dormant	100
KD ServCo Limited ⁽¹⁾	Group operations	100

Registered office

- 1) Kao Data Campus, London Road, Harlow, Essex, CM17 9NA
- 2) Oak House, Hirzel Street, Guernsey, GY1 3RH

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

13 Stocks

	Group 2025 £'000	Group 2024 £'000	Company 2025 £'000	Company 2024 £'000
Finished goods and goods for resale	339	292	-	-

14 Trade and other receivables

Current

	Group 2025 £'000	Group 2024 £'000	Company 2025 £'000	Company 2024 £'000
Trade debtors	4,047	7,042	-	-
Amounts owed by Group undertakings	-	-	309,461	256,223
Other debtors	5,649	3,864	-	10
Prepayments and accrued income	3,942	7,528	-	-
	<u>13,638</u>	<u>18,434</u>	<u>309,461</u>	<u>256,233</u>

Non-current

	Group 2025 £'000	Group 2024 £'000	Company 2025 £'000	Company 2024 £'000
Other debtors	7,375	-	-	-
	<u>7,375</u>	<u>-</u>	<u>-</u>	<u>-</u>

Other debtors non-current includes IFRS adjustments from contracted revenue over the life of the contracts of £5,475k (2024 current asset £2,584k) and contract costs of £1,816k (2024 nil)

Amounts owed by Group undertakings are subject to interest at rates agreed between the parties from time to time. No interest has been charged to date. Amounts owed to Group undertakings are repayable on demand.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

15 Cash and cash equivalents

Cash and cash equivalents for purposes of the statement of cash flows comprises

	Group 2025 £'000	Group 2024 £'000	Company 2025 £'000	Company 2024 £'000
Cash at bank available on demand	22,941	10,704	18,223	8,279
Restricted cash and cash equivalents	5,244	5,244	-	-
	<u>28,185</u>	<u>15,948</u>	<u>18,223</u>	<u>8,279</u>

Of our £28,185k (2024 £15,948k) of cash at year end £5,244k (2024 £5,244k) is subject to lender restrictions and has been classed as restricted cash

16. Trade and other payables

	Group 2025 £'000	Group 2024 £'000	Company 2025 £'000	Company 2024 £'000
Trade creditors	14,258	17,256	-	184
Accruals and deferred income	5,810	5,224	27	25
	<u>20,068</u>	<u>22,480</u>	<u>27</u>	<u>209</u>

17 Loans and borrowings

The book value and fair value of loans and borrowings which are denominated in sterling are as follows

	Group 2025 £'000	Group 2024 £'000	Company 2025 £'000	Company 2024 £'000
Loans and borrowings - secured	132,393	129,327	-	40,328

On 10th January 2024 the Group refinanced all existing third-party borrowings via a £206m loan facility to KD Opco Limited provided by a single lead lender who subsequently syndicated to two other lenders. The lenders took a fixed and floating charge over all the assets of KD Opco Limited. The loan has a tenure of three years, and interest is payable at margin plus SONIA. KD Opco is a 100% subsidiary of KD Midco Limited which is a 100% subsidiary of Kao Data Limited (the Company). The lenders also took an English law share charge over KD Midco Limited's shares in KD Opco Limited. At the balance sheet date £137.6m of the loan had been drawn and £1.0m of arrangement and transaction fees had been amortised to the Income Statement (2024 £0.4m).

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

17 Loans and borrowings (continued)

Reconciliation of movements of liabilities to cash flows arising from financing activities

	Loans and borrowings £'000	Leases £'000	Total £'000
Balance at 1 April 2024	129,327	30,615	159,942
Changes from financing cash flows			
Proceeds from bank loan	40,864	-	40,864
Interest paid	(11,037)	-	(11,037)
Payment of transaction costs	(1,471)	-	(1,471)
Payment of lease liabilities	-	(2,716)	(2,716)
Total changes from financing cashflows	28,356	(2,716)	25,640
Other changes - liability related			
Interest expense	15,142	1,949	17,091
New leases	-	421	421
Capitalisation of shareholder loans	(44,434)	-	(44,434)
Transaction costs expensed	4,002	-	4,002
Total liability related-other changes	(25,290)	2,370	(22,920)
Balance at 31 March 2025	132,393	30,269	162,662
	Loans and borrowings £'000	Leases £'000	Total £'000
Balance at 1 April 2023	72,083	31,354	103,437
Changes from financing cash flows			
Proceeds from bank loan	133,674	-	133,674
Repayment of bank loan	(72,083)	-	(72,083)
Interest paid	(7,257)	-	(7,257)
Payment of transaction costs	(9,496)	-	(9,496)
Payment of lease liabilities	-	(2,716)	(2,716)
Total changes from financing cashflows	44,838	(2,716)	42,122
Other changes - liability related			
Interest expense	10,369	1,977	12,346
Transaction costs expensed	2,037	-	<u>2,037</u>
Total liability related-other changes	12,406	1,977	14,383
Balance at 31 March 2024	129,327	30,615	159,942

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

17 Loans and borrowings (continued)

The maturity of sources of debt finance are as follows

Loans and overdrafts

	2025 £'000	2024 £'000
In one year or less, or on demand	-	-
In more than one year but not more than two years	-	40,328
In more than two years but not more than five years	132,393	88,999
	<u>132,393</u>	<u>129,327</u>

18. Leases

Lease liabilities

Maturity analysis - contractual undiscounted cash flows	2025 £'000	2024 £'000
In one year or less, or on demand	2,961	2,716
In more than one year but not more than two years	2,875	2,716
In more than two years but not more than five years	8,228	8,148
More than five years	38,027	40,743
Total undiscounted lease liabilities	<u>52,091</u>	<u>54,323</u>
Lease liabilities included in the balance sheet		
Split as follows		
Current	2,960	2,716
Non-current	27,308	27,899
	<u>30,268</u>	<u>30,615</u>
Amounts recognised in the consolidated statement of comprehensive income		
Interest on lease liabilities	1,949	1,977

The Group has entered into a long-term lease for a data centre building in Slough which is accounted for as an investment property. The lease was acquired during the year ended 31 March 2022 and runs to 2044.

In September 2024, the Group entered into a lease for the Head Office building which is accounted for as a tangible asset. The lease was acquired in September 2024 and runs to 2027.

The weighted average incremental borrowing cost applied to lease liabilities is 6.3%-8.5% (2024: 6.30%). Total cash outflow for leases for the year ended 31st March 2025 was £2,716k (2024: £2,716k) of lease repayments.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

19. Financial instruments and risk management

The Group's financial instruments may be analysed as follows

	Group 2025 £'000	Group 2024 £'000	Company 2025 £'000	Company 2024 £'000
Financial assets				
Trade and other receivables	9,269	10,907	309,466	256,055
Investments	-	-	67,400	67,400
Cash and cash equivalents	28,185	15,948	18,223	8,279
Financial assets measured at amortised cost	<u>37,454</u>	<u>26,855</u>	<u>395,089</u>	<u>331,734</u>
Financial liabilities				
Trade and other payables	(14,257)	(17,256)	-	(1,014)
Loans	(132,393)	(129,327)	-	(40,228)
Financial liabilities measured at amortised cost	<u>(146,650)</u>	<u>(146,583)</u>	<u>-</u>	<u>(41,242)</u>

There are no financial assets measured at fair value through profit and loss

- Financial risk management objectives and policies

The Group's principal financial instruments comprise cash and cash equivalents, short term deposits and bank and other borrowings

The main purpose of these financial instruments is to finance the Group's operations. The Group has other financial instruments which mainly comprise trade receivables and trade payables which arise directly from its operations

Group Companies participate in a framework agreement for purchases of electricity. This enables companies to purchase electricity for future periods to minimise, and normally eliminate, exposure to the volatility of the spot market. As the framework allows for future purchases to be unwound such future commitments to purchase electricity are not recognised in the financial statements. Furthermore, as electricity is recharged to customers any exposure net of anticipated recharges to customers would be minimal.

Risk management is carried out by the finance department under policies approved by the Board of Directors. The Group finance department identifies, evaluates and manages financial risks. The Board provides guidance on overall risk management including foreign exchange risk, interest rate risk, credit risk, and investment of excess liquidity.

The impact of the risks required to be discussed under IFRS 7 are detailed below

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

19. Financial instruments and risk management (continued)

- Interest rate risk

The Group is funded by loans from external bank borrowings. The loans are at a fixed and variable rate based on SONIA. This variable rate has been hedged using an interest rate swap and consequently results in limited exposure to fluctuations in interest rates.

The Group has not opted to hedge account for the loan but as at 31st March 2025 hedging was over 95% effective.

As at 31 March 2025, an increase in the SONIA interest rate of 0.5% would increase the annual interest cost of the Group by £688k (2024: £484k).

- Fair value of financial assets & liabilities

The carrying value of financial assets and liabilities approximate their fair value. Fair values of assets and liabilities are based on their carrying values. The fair value of fixed and floating rate interest loans has been considered by the Group to be approximate to their book value.

- Capital risk management

The Group's capital comprises share capital, debt, share premium, reserves and retained earnings. The Group's objectives when managing capital are to safeguard the Group's ability to continue to operate as a going concern, to maintain optimal capital structure commensurate with risk and return and to reduce the cost of capital. The Group intends to continue to proactively manage its capital structure whilst maintaining flexibility to take advantage of opportunities, which arise, to grow its business.

	2025 £'000	2024 £'000
Total equity	356,126	270,939
Borrowings	132,393	129,327
Total capital employed	488,519	400,266

There were no changes in the Group's approach to capital management during the year.

The Group is subject to certain financial covenants which management monitors on a regular basis to ensure compliance. The Group is not subject to externally imposed capital requirements.

- Foreign exchange risk

At the year end the Group held no financial instruments or traded in currencies other than Pounds Sterling.

- Economic conditions – Credit control risk

The Group continues to benefit from a diverse list of clients. The Group emphasises sound application of credit control processes. The Group makes provisions against trade receivables to reflect specific collection risks identified using a simplified approach as permitted by IFRS 9.

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

19. Financial instruments and risk management (continued)

- Liquidity risk

The Group's objective is to optimise the funds currently available to it in order to maintain the lowest operational borrowing profile necessary. At 31 March 2025, the Group had borrowings of £132,393k (2024: £129,327k) and £28,185k (2024: £15,948k) of cash. Underpinning this objective are processes to manage operating cash flow, with a focus on approvals policy for significant cash outflows and effective credit control.

Analysis of net debt

	2025 £'000	2024 £'000
Cash and bank and in hand	28,185	15,948
Debt due in under 1 year	-	-
Debt due after one year	(132,393)	(129,327)
Total	(104,208)	(113,379)

- Credit risk

The Group's maximum exposure to credit risk is limited to the carrying amount of financial assets recognised at the reporting date, as summarised below:

	2025 £'000	2024 £'000
Cash and cash equivalents	28,185	15,948
Trade receivables	4,047	7,042
Accrued income	3,942	7,528
Other receivables	11,124	3,864
	47,298	34,382

Credit risk is managed on a Group basis. Credit risks arise from cash and cash equivalents and deposits with banks and financial institutions, as well as credit exposures to customers, including outstanding receivables and committed transactions.

The Group's credit risk is primarily attributable to its trade receivables. It is the policy of the Group to present the amounts in the balance sheet net of allowances for doubtful receivables, estimated by the Group's management based on prior experience and the current economic environment. The Group reviews the reliability of its customers on a regular basis, such reviews consider the nature of the Group's trading history with the customer.

The credit risk on liquid funds is limited because most funds are held with banks with high credit-ratings assigned by international credit-rating agencies. Management does not expect any losses from non-performance of these counterparties.

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Notes to the Statutory Financial Statements for the year ended 31 March 2025 (continued)

20 Capital commitments

	Group 2025 £'000	Group 2024 £'000	Company 2025 £'000	Company 2024 £'000
Contracted but not provided for Construction of data centre capacity	42,256	37,682	-	-
	<u>42,256</u>	<u>37,682</u>	<u>-</u>	<u>-</u>

21. Related party disclosures

As at 31st March 2025 and the signing of these financial statements, there is no ultimate controlling party of Kao Data Limited

No related party transactions occurred during the year

22. Share capital and reserves

Share capital	2025 Number	2025 £	2024 Number	2024 £
<i>Allotted, called up and fully paid A shares</i>				
A ordinary shares of 0.1p each (one vote)	224,995	225	200,680	201
Opening at 1 April	<u>224,995</u>	<u>225</u>	<u>200,680</u>	<u>201</u>
Issue of A ordinary shares of 0.1p each (one vote) during the year	41,348	41	24,315	24
Capitalisation of shareholder loan	28,679	29	-	-
Closing at 31 March	<u>295,022</u>	<u>295</u>	<u>224,995</u>	<u>225</u>

The issued share capital for 2024 has been updated to reflect 24,315 shares. This update has no impact on the amounts disclosed in the statement of financial position. Consequently, the closing number of shares has also been updated.

	2025 Number	2025 £	2024 Number	2024 £
<i>Allotted, called up and fully paid B & C shares</i>				
10 'B' shares of 0.1p each (non-voting)	10	-	10	-
250 'C' shares of 0.1p each (non-voting)	250	-	500	1
Opening at 1 April	<u>260</u>	<u>-</u>	<u>510</u>	<u>1</u>
Sale of C shares	-	-	(250)	(1)
Closing at 31 March	<u>260</u>	<u>-</u>	<u>260</u>	<u>-</u>

Kao Data Limited

Notes to the Statutory Financial Statements for the year ended 31 March 2025 (*continued*)

22 Share capital and reserves (*continued*)

The allotted, called up and fully paid A ordinary shares have share premium associated with them of £405 4m at 31st March 2025 (2024 £297 5m)

On a winding up the assets of the company available to shareholders shall be divided amongst the holders of the A Ordinary Shares and the C Ordinary Shares (pari passu as if they constituted one class of shares), pro rata to the aggregate number of shares held by them subject to any entitlement of the holders of the B Ordinary Shares

On 24th June 2024, the three main shareholders, Infratil HPC Limited, Legal & General Capital Investments Limited and Hockham Investments LP subscribed a further £10 5m in return for 7,047 A Ordinary, shares with a nominal value of £0 001 each

On 18th October 2024, two shareholders, Infratil HPC Limited and Legal & General Capital Investments Limited subscribed a further £30m in return for 19,598 A Ordinary shares with a nominal value of £0 001 each

On 13th December 2024, the pre-existing shareholder loans of £44 4m were fully capitalised to share capital and share premium. The Group issued 28,679 A Ordinary shares with a nominal value of £0 001 each and each share has been credited as fully paid for the aggregate consideration of £44,434,043

On 6th January 2025, two shareholders, Infratil HPC Limited and Legal & General Capital Investments Limited subscribed a further £22 9m in return for 14,703 A Ordinary shares with a nominal value of £0 001 each

The funds subscribed will be used for ongoing capital expenditures. There were no transaction costs incurred for the issue of these shares during the year

23. Post balance sheet events

- On 21 July 2025, KD 6 Limited acquired all the share capital and therefore control of Enso Green Holdings N Limited (subsequently renamed to KD 6A Limited) and Enso Green Holdings W Limited (subsequently renamed to KD 6B Limited). KD 6A Limited and KD 6B Limited are special purpose vehicles established to hold the grid connection agreements which now form part of the Group's strategic operations
- On 13 August 2025, the Group (through its subsidiary KD 5 Limited) entered into a loan agreement with a single new lender for £28 4m. The loan bears fixed interest and has a tenor of two years. The loan proceeds will be used for the deployment of power infrastructure and construction of a substation for Kao Data's Manchester data centre development
- On 1 September 2025, Legal & General Capital Investments Limited (LGCIL) completed the sale of its entire shareholding in Kao Data Limited to L&G Kao Holdco Ltd, a company within L&G's digital infrastructure fund structure
- On 10 September existing shareholders subscribed a further £45 9m in return for 25,582 A Ordinary shares with a nominal value of £0 001 each. The funds subscribed will be used for ongoing capital expenditures

The events above occurred after the reporting period and therefore represent non-adjusting events under IAS 10 *Events after the Reporting Period*. Accordingly, no adjustments have been made to these financial statements